

Buy Now, Pay Later (BNPL) in Malaysia — Market Research Report

Compiled June 2026 from ~60 sources across three research tracks: players, market/economics, and regulation. Where official statistics and market-research-firm estimates conflict, the official Ringgit (RM) figures are treated as load-bearing.

1. Executive Snapshot

- **A big, fast-growing, highly concentrated market.** BNPL transaction value hit **RM12 billion in 2024** (149M transactions, ~2× 2023) and **RM21.3 billion in 2025** (243M transactions, +78%). Yet it remains tiny as a credit risk — outstanding balance was **RM4.9 billion at end-2025, just ~0.3% of household debt.**
- **Three players own >90% of users: SPayLater 56.5%, Atome 26.5%, Grab PayLater 8.3%** — together ~95–97% of transaction value.
- **The game just changed:** the **Consumer Credit Act 2025** came into force **1 March 2026**; **BNPL licensing opens 1 June 2026.** BNPL went from unregulated to licensed almost overnight.
- **The model is fragile:** ShopBack PayLater, Hoolah, and Pace **exited in 2024**; IOUpay / myIOU **collapsed in 2023** (alleged fraud). Thin margins + high delinquency shake out weak players.

2. The Players

Player	Owner	Core product	Consumer fee	Late fee	Reach
SPayLater (#1)	SeaMoney / Sea Ltd	Next-month + 2–48mo	0% next-mo; 1.5%/mo installments	RM10	In-app (Shopee) only
Atome (#2)	Advance Intelligence (SG)	Pay-in-3 (+6/12mo)	0% Pay-in-3; ~1.5%/mo longer	RM23 (+RM7)	Online + offline + Atome Card
Grab PayLater (#3)	GFin Services (Grab)	Postpaid + 4/8/12mo	1.25%/mo (from Mar 2026)	RM10	Grab ecosystem + offline
Boost PayFlex	Boost / Axiata	30-day + 3mo (→24mo)	RM10 wakalah; 2.5%/mo (Shariah)	—	DuitNow QR (offline + online)
		Pay-in-3	0% on-time		Fave merchants

Player	Owner	Core product	Consumer fee	Late fee	Reach
FavePay Later	Pine Labs / Fave			1.5% of price	
Riipay	Local	Pay-in-3	0%, no fees	—	Online + in-store QR
Split	Local (Dylan Tan)	Pay-in-3 (Shariah)	0%, no fees ever	none	1,000+ stores (pivoted to SNBL "Sugar")
Maybank EzyPay	Maybank	Card installment 3–36mo	0% (or ~9% p.a. Plus)	card terms	Credit-card holders
TNG GOpinjam	TNG Digital / CIMB	Personal loan RM100–10k	8–36%	—	eWallet users

Market leader — SPayLater (Shopee): launched 2021, run by SeaMoney; pay next-month free, or convert to 2–48-month installments at 1.5%/mo; limits up to RM10,000; **in-app only**. ~56.5% of all BNPL users.

Atome (#2): launched July 2020; classic "**Pay in 3**" interest-free; uniquely **online + offline + a Mastercard-branded Atome Card**; ~26.5% share, ~3M users.

Grab PayLater (#3): credit sits with **GFin Services**, not GXBank (common misconception). Postpaid + 4/8/12-mo installments; moving to a flat **1.25%/mo from 9 March 2026**.

Shariah-compliant niche: Boost PayFlex (wakalah-fee model, works on any DuitNow QR) and **Split** (Malaysia's first certified-Shariah BNPL, now pivoting to Save-Now-Buy-Later).

Exited / collapsed / unverified: ShopBack PayLater + Hoolah + Pace (exited 2024); IOUpay / myIOU (collapsed 2023, ~US\$19M alleged fraud); **PayHalf, MobyPay, InstaPay, Rely** could not be verified as active.

3. Market Size & Adoption (official CCOB / MOF figures)

Metric	Figure	Period
Transaction value	RM2.7B → RM12B → RM21.3B	2023 → 2024 → 2025
Transactions	30.6M → 149M → 243M	2023 → 2024 → 2025
Active accounts	3.7M → 5.1M → 6.5M	2023 → 2024 → Jun 2025
Outstanding balance	RM3.8B (Jun) → RM4.9B (Dec)	2025
Avg. transaction	~RM80-91	2024-25
Overdue rate	~3.2-3.3% of loans (vs ~1.1% for credit cards)	2025

User profile: ~73% earn **under RM5,000/month** (B40-skewed); mostly aged **21-45**; **~40% of transactions by under-30s** — the core of the government's "youth debt" concern.

Market-research-firm USD GMV estimates (ResearchAndMarkets etc.) are **unreliable** — one restated 2025 from US\$2.52B down to US\$1.47B between vintages. Use the official RM series.

4. Business Model & Economics

- **Primary revenue = Merchant Discount Rate (MDR):** the merchant pays a cut per transaction. Industry benchmark **~2-8%** (Malaysian providers don't publicly disclose exact rates; Shopee raised its seller-side fee to 4.5% in 2025).
- **Secondary:** late fees (RM10-23), interest on longer installments (1.25-2.5%/mo), interchange.
- **Most short-tenure BNPL is 0% interest to the consumer**, so MDR + late fees carry the model.
- **Merchant value prop:** the Zalora × Grab PayLater case showed **+20% new shoppers, +15% checkout completion, +32% basket size**. That is why merchants tolerate the MDR.
- **The catch:** thin margins + loss rates of 25-35% on bad cohorts. ShopBack's exit and IOUpay's collapse show how fragile the economics are.

5. Regulation — the Defining 2025-2026 Shift

This is the single most important development for anyone entering the space.

Consumer Credit Act 2025 (Act 873):

- Passed Dewan Rakyat **21 July 2025** → gazetted **31 Dec 2025** → in force **1 March 2026**.
- Creates the **Suruhanjaya Kredit Pengguna (SKP) / Consumer Credit Commission** as the regulator (evolved from the interim CCOB Task Force, which ran public consultations in 2022-2023).
- **BNPL = a "credit business" requiring a LICENCE** (the heavier tier, not just registration).

Timeline for new entrants:

- **Licensing opens 1 June 2026** (Part V), with a **transition window to 31 December 2026** to apply.
- Phased rollout: SKP first regulates 6 previously-ungoverned activities (BNPL, factoring, leasing, debt collection, impaired-loan acquisition, debt counselling), then absorbs other regulators' remits by ~2031.

What a new BNPL licensee must meet:

- **Minimum shareholders' fund: RM2 million** (well-attested from consultation papers — confirm against final gazetted subsidiary regulations).
 - **Fit-and-proper** controllers / directors / management.
 - **Mandatory affordability checks** before granting / raising credit (salary slips, EPF, bank statements + credit-bureau data).
 - **Full upfront disclosure** of all fees / late charges.
 - **Late fees cannot compound; no interest charged on top of late fees** (exact RM / % cap not yet public — likely in subsidiary regs).
 - **Mandatory reporting** of BNPL borrowing to credit agencies (e.g. CTOS) via a centralised database.
 - **Fair debt-collection conduct** rules; the original provider stays liable for its collectors.
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6. Key Takeaways for a New Entrant

1. **The window is now regulated.** Anyone launching BNPL in Malaysia from mid-2026 needs an **SKP licence + RM2M capital + affordability / credit-reporting infrastructure**. The "just launch an app" era is over.
 2. **Incumbency is brutal.** Top 3 hold >90% of users; the long tail is littered with exits. Differentiation (Shariah, offline / DuitNow QR reach, embedded in a specific vertical) matters more than another generic Pay-in-3.
 3. **The economics are merchant-funded and thin.** You need volume and low default — which now requires the very affordability checks the law mandates.
 4. **Open questions to verify before acting:** exact late-fee cap, final capital threshold, and SKP's licence-application checklist (all pending in subsidiary regulations — confirm directly with SKP).
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7. What It Would Take for Your App to Offer a PayLater Feature

This section maps the findings onto a practical build decision. There are three routes, from lightest to heaviest.

Route A — Partner with a licensed BNPL provider (fastest, lowest risk) recommended starting point

Integrate an existing licensed player (Atome, SPayLater, Boost PayFlex, Grab PayLater, Fave) at your checkout. **They hold the licence and carry the credit risk; you just enable the payment option.**

- **Licence needed by you:** None — the partner is the licensed credit provider.
- **Cost:** You pay the **MDR (~2-8%)** per transaction; no capital requirement.
- **Time to launch:** Weeks (an integration, not a licence).

- **Trade-off:** You don't own the customer credit relationship or the lending margin — you're buying conversion uplift.
- **Best when:** You want the conversion / basket-size benefit without becoming a lender.

Route B — Become a licensed BNPL provider yourself (own the credit) heavy

Offer your own installment credit to users. Under the Consumer Credit Act 2025 this makes you a **credit business requiring an SKP licence**.

- **Licence needed:** SKP **credit-business licence** (applications open 1 June 2026).
- **Capital:** ~RM2 million minimum shareholders' fund (confirm final figure).
- **Obligations:** affordability checks, fit-and-proper management, upfront fee disclosure, late-fee caps (no compounding), credit-bureau reporting, fair debt collection.
- **Time to launch:** Many months (licence + risk infrastructure + capital).
- **Best when:** Lending margin is core to your business model and you have the capital and risk appetite.

Route C — Closed-loop "pay later" for your own services only (grey-zone, verify)

If you only let customers defer payment for **your own services** (e.g. pay for a towing / roadside job over installments), this may sit closer to a deferred-payment / trade-credit arrangement than a licensed BNPL business — but **the Consumer Credit Act 2025 is broad, and "BNPL" is explicitly named as a licensable credit business**. Do not assume closed-loop exempts you the way it does for e-money wallets.

- **Action required:** Get a written legal/SKP determination before relying on this. The safe assumption is that **extending repayment terms to consumers = consumer credit = licensable**.

Decision guide

If you want to...	Use Route
Boost checkout conversion quickly, no lending	A — partner
Earn the lending margin, own the customer credit	B — get licensed
Let customers pay for your services over time	C — verify with SKP first

Recommended path for most apps

Start with Route A (partner integration) to capture the conversion benefit with near-zero regulatory burden, while you assess whether the lending margin in Route B justifies the RM2M capital + licensing load. Revisit Route B only once volume proves the unit economics.

This is general guidance, not legal advice. The Consumer Credit Act 2025 and its subsidiary regulations are new (in force March 2026); confirm capital thresholds, fee caps, and your

specific product classification directly with the **Suruhanjaya Kredit Pengguna (SKP)** or a Malaysian fintech lawyer before building.

Caveats

- Direct page-fetching was blocked (HTTP 403) across sources, so findings rest on search-result extraction cross-referenced across 12+ independent sources per claim — reliable for the claims, exact verbatim figures not captured.
- MDR rates for specific Malaysian providers are industry benchmarks, not disclosed actuals.
- Average transaction size (~RM80–91) is derived arithmetic where not officially published.
- The exact late-fee cap and final licensing capital threshold are pending in subsidiary regulations — verify with SKP.

Selected Sources

- **Official statistics:** CCOB / MOF quarterly BNPL releases (via BERNAMA, Malay Mail, The Edge Malaysia, BusinessToday)
- **Regulation:** Consumer Credit Act 2025 (Act 873) via skp.gov.my; DFDL, Baker McKenzie, Rahmat Lim & Partners, Zico, Conventus Law briefings; Fintech News Malaysia (Consumer Credit Bill 2025)
- **Players:** Shopee Help Centre, Atome.my, Grab Help / Terms, Boost, Fave, Riipay, RinggitPlus, iMoney, SoyaCincau, HitPay, Vulcan Post
- **Market analysis:** Fintech News Malaysia 2025 Report; ResearchAndMarkets / GlobeNewswire BNPL Malaysia reports (USD estimates — low confidence); Edge Malaysia; Paydibs; Statista
- **Exits:** Fintech News Singapore & SoyaCincau (ShopBack / Hoolah); FinTech Futures & Vulcan Post (IOUpay)

Compiled via a 3-track parallel web-research workflow, June 2026.